

25NNCV06765 25NNCV06765

County: los-angeles

Division: Civil Law and Motion

Department: T

Hearing date: 2026-07-17

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Case Number: 25NNCV06765 Hearing Date: July 17, 2026 Dept: T

Morgan Stanley

Smith Barney LLC vs Surjit P. Soni dba The Soni Law Firm, et al.

(1) Demurrer to Plaintiff's First Amended Complaint in Interpleader; (2) Motion to Strike Portions of Plaintiff's First Amended Complaint in Interpleader

Moving Party: Defendants

in Interpleader Surjit P.

Soni dba The Soni Law Firm and in his capacity as trustee for The Soni Family

Trust

Responding Party: Plaintiff

in Interpleader Morgan Stanley Smith Barney LLC and Defendants in Interpleader Timothy Tierney and Simplelayers, Inc.

Tentative Ruling: (1) Overrule; (2) Deny

BACKGROUND

On March 4, 2026, Plaintiff in Interpleader Morgan Stanley Smith Barney LLC ("Morgan Stanley") filed a First Amended Complaint in Interpleader ("FAC") alleging that it holds two trust accounts for Defendants in Interpleader Surjit P. Soni ("Soni") dba The Soni Law Firm and in his capacity as trustee for The Soni Family Trust (the "Trust") (collectively, the "Soni Defendants"), which serve as collateral for a loan that predates a February 19, 2025, Writ of Execution obtained by Defendants in Interpleader Timothy Tierney and Simplelayers, Inc. (collectively, the "Tierney Defendants"). Morgan Stanley seeks a judicial determination of the parties' respective rights to the funds held in the accounts due to the

alleged completing claims asserted by the Soni Defendants and the Tierney Defendants for said funds.

The Soni Defendants now concurrently demur to the FAC and move to strike portions of the FAC that contradict the facts set forth in the FAC's exhibits.

Plaintiff and the Tierney Defendants oppose, and The Soni Defendants reply.

MOVING PARTY POSITION

A. Motion to Strike

The Soni Defendants argue that specified allegations contradict Morgan Stanley's narrative that the levy is directed to judgment-debtor property and creates competing claims, as the attached exhibit to the FAC states that a levy was performed against a deposit account in the name of a parton other than the judgment debtor. Morgan Stanley cannot plead asserted claims as facts when the exhibits show only enforcement papers against the judgment debtor and third-party notice procedures, particularly as the exhibit shows that the sheriff was proceeding through third-party name procedures. The discharge prayer is improper based on these allegations and should be stricken accordingly.

B. Demurrer

The Soni Defendants argue that the FAC fails to plead facts establishing the existence of actual, adverse claims that create a risk of multiple liability based on the alleged levy of the trust accounts. Morgan Stanley selectively quotes from the notice of levy and ignores the controlling limitations in the papers attached to the FAC, and Morgan Stanley fails to name a party capable of being sued given its improper naming of the Trust as a defendant. The FAC is uncertain because it does not identify the disputed funds with reasonable particularity, and the FAC also seeks relief far beyond what interpleader permits, confirming the absence of a proper controversy.

OPPOSITION

A. Motion to Strike

Morgan

Stanley contends that the motion to strike improperly seeks to litigate factual and merits issues because the challenged allegations are not irrelevant, improper, or conclusory. It also contends that the Soni Defendants fail to provide any meaningful authority supporting its position that these allegations are improper. Morgan Stanley further contends that it accurately quotes the exhibited levy and that it truthfully pleaded facts showing a dispute and indicating double vexation. In addition, the prayer for relief is proper as Morgan Stanley seeks only relief authorized by the interpleader statutes with respect to the disputed funds and the competing claims at issue in this action. Finally, Morgan Stanley contends that it was and remains a disinterested stakeholder, and that a dispute as to this status is not the proper basis for a motion to strike.

B. Demurrer

Morgan Stanley initially contends

that the Soni Defendants created the dispute giving rise to the interpleader action and that they fail to provide any meaningful authority for their positions in support of the demurrer.

Morgan Stanley also contends that it pleaded sufficient facts to justify interpleader relief and that the Sonie Defendants selectively rely on quotes from the exhibited levy notice to transform a merits issue into a pleadings issue. The naming of the Trust in the caption and the asserted defect in the prayer do not serve as a basis for demurrer, and the FAC is neither ambiguous nor uncertain due to the absence of a specified amount for the disputed funds.

REPLY

A. Motion to Strike

The Soni Defendants respond that the motion to strike seeks to strike facially improper allegations and prayer provisions.

B. Demurrer

The Soni Defendants initially respond that the oppositions cannot cure defects in the FAC with declarations, later pleadings, and evidence and that the FAC sets forth internally inconsistent allegations regarding the Trust.

The FAC does not plead a proper interpleader claim because the allegations do not establish double vexation or the existence of adverse claims, as the oppositions rely on facts not found in the FAC or misinterpret the attached exhibits to the FAC. The disputed funds are also not pleaded with the requisite particularity for an interpleader complaint, as the FAC does not identify the property to be deposited with enough precision to define the stakeholder's exposure and the competing claims. Morgan Stanley's opposition also undermines its allegation of being a disinterested stakeholder, and the Court's prior rulings do not save the FAC.

ANALYSIS

I. Legal Standard

A. Motion to Strike

California law authorizes a party's motion to strike matter from an opposing party's pleading if it is irrelevant, false, or improper. (Code Civ. Proc. §§ 435, 436(a).) Motions may also target pleadings or parts of pleadings which are not filed or drawn in conformity with applicable laws, rules or orders. (Code Civ. Proc. § 436(b).) A motion to strike is used to address defects that appear on the face of a pleading or from judicially noticed matter but that are not grounds for a demurrer. (Pierson v Sharp Memorial Hospital (1989) 216 Cal.App.3d 340, 342; see, also, City & County of San Francisco v Strahlendorf (1992) 7 Cal.App.4th 1911, 1913 [motion may not be based on a party's declaration or factual representations made by counsel in the motion papers].) In particular, a motion to strike can be used to attack the entire pleading or any part thereof – in other words, a motion to strike may target single words or phrases, unlike demurrers. (Warren v. Atchison, Topeka & Santa Fe Railway Co.

(1971) 19 Cal.App.3d 24, 40.)²

The Code of Civil Procedure also authorizes the Court to act on its own initiative to strike matters, empowering the Court to enter orders striking matter “at any time in its discretion, and upon terms it deems proper.” (Code Civ. Proc. § 436.)³

B. Demurrer

A demurrer is a pleading used to test the legal sufficiency of other pleadings. It raises issues of law, not fact, regarding the form or content of the opposing party's pleading (complaint, answer or cross-complaint). (Code Civ. Proc. §§ 422.10, 589; see, also, *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) It is not the function of the demurrer to challenge the truthfulness of the complaint; and for purposes of the ruling on the demurrer, all facts pleaded in the complaint are assumed to be true. (*Donabedian, supra*, 116 Cal.App.4th at p. 994.)

The general rule is that the plaintiff need only allege ultimate facts, not evidentiary facts. (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550.) “All that is required of a plaintiff, as a matter of pleading, even as against a special demurrer, is that his complaint set forth the essential facts of the case with reasonable precision and with sufficient particularity to acquaint the defendant with the nature, source and extent of his cause of action.” (*Rannard v. Lockheed Aircraft Corp.* (1945) 26 Cal.2d 149, 156-157.)⁴

“A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (*Chen v. Berenjian* (2019) 33 Cal.App.5th 811, 822 [quoting *Khoury v. Maly's of California, Inc.* (1993) 14 Cal.App.4th 612, 616].) Demurrers “for uncertainty are disfavored, and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” (*Mahan v. Charles W. Chan Ins. Agency, Inc.* (2017) 14 Cal.App.5th 841, 848, fn. 3, internal quotations omitted; accord *Lickiss v. Financial Industry Regulatory Authority* (2012) 208 Cal.App.4th 1125, 1135.) “A demurrer for uncertainty should be

overruled when the facts as to which the complaint is uncertain are presumptively within the defendant's knowledge." (Chen, supra, 33 Cal.App.5th at p. 822.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Id.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) However, "[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend." (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245.)

II. Meet and Confer

Based on the submitted declaration, it is not apparent whether the Soni Defendants fully complied with their statutory obligations to meet and confer. (Soni Decl. ¶¶ 1–2.) Nevertheless, even if their meet and confer efforts were found to be insufficient, "[a] determination by the court that the meet and confer process was insufficient shall not be grounds to overrule or sustain a demurrer." (Code Civ. Proc. § 430.41, subd. (a)(4).) In addition, "[a] determination by the court that the meet and confer process was insufficient shall not be grounds to grant or deny the motion to strike." (Code Civ. Proc. § 435.5, subd. (a)(4).)

III. Discussion

A. Motion to Strike

The Soni Defendants seek to strike the following allegations from the FAC, as it asserts that these allegations contradicted by the attached exhibits or reflect improper legal conclusions pleaded as fact: Paragraphs 4, 6, 12, 20, and Prayer for Relief, paragraph 2, as well as

any of the alleged references to Morgan Stanley as a “disinterested stakeholder” in the FAC.

Paragraph

4 states the following: “Plaintiff in Interpleader MORGAN STANLEY is a premiere American multinational investment bank and financial services company. On May 31, 2025, Morgan Stanley received a Sheriff’s notice to comply with a levy on accounts held at Morgan Stanley. The Levy was for property in which the judgment debtor and Defendant in Interpleader, Surjit P. Soni dba The Soni Law Firm, appears to have an interest.”

Paragraph

20 states the following: “As a result of the Underlying Litigation and the instant case, there is currently a multiplicity of lawsuits whereby multiple, and possibly inconsistent liability may result with respect to the opposing claims being made to the Accounts.”

In

examining Exhibit A to the FAC, no facial contradiction exists between the substance of notice of levy and the allegations set forth in Paragraph 4. In particular, the notice identifies the judgment debtor as “SURJIT P. SONI DBA THE SONI LAW FIRM” and expressly states that “[t]he judgment creditor seeks to levy upon property in which the judgment debtor has an interest and apply it to the satisfaction of a judgment” before once again identifying “Surjit P. Soni dba The Soni Law Firm” as the judgment debtor and including “trust accounts” in the description of property to be levied upon. (FAC, Exh. A.) Nor is the cited language in Exhibit C relating to the performance of levy irreconcilable with the alleged fact of Soni’s interest in the accounts as its settlor and co-trustee. (Compare id., Exh. C and id. ¶¶ 4–5.) Nor does this language contradict the allegation that Morgan Stanley faces double vexation due to the existence of this levy on the trust accounts. (Compare id., Exh. C and id. ¶ 20.) Accordingly, as these allegations do not facially contradict the supporting exhibits to the FAC and set forth ultimate facts supported by other facts found in these exhibits or alleged in the FAC, the motion to strike is denied as to these allegations.

Paragraph

6 states the following: “Defendant in Interpleader Surjit P. Soni, in his capacity as trustee of The Soni Family Trust is a trust established in California which asserted a claim to the assets in the accounts held at Morgan

Stanley and is a necessary party to this interpleader proceeding.”

Paragraph

12 states the following: “Defendants in Interpleader Simplelayers and Timothy Tierney (collectively, “Tierney Defendants”) have asserted a claim to funds held in the Accounts. Specifically, on or about February 19, 2025, as part of the Underlying Litigation, the Tierney Defendants obtained a Writ of Execution for a money judgment against Soni. A true and correct copy of the Writ of Execution dated February 19, 2025, is attached hereto as Exhibit A.”

Neither

of these allegations are false or improper on their face, as these allegations set forth ultimate facts as to the existence of conflicting claims made by Soni and the Tierney Defendants to the funds held in the trust accounts. Nor do the cited factual allegations set forth in Paragraph 15 render these allegations false or improper, as the inclusion of Soni, in his individual capacity, as another claimant to the funds in these accounts is reconcilable with the alleged fact that he made this claim in both his individual capacity and in his capacity as trustee for the Trust. (FAC ¶ 15.) Given the lack of any apparent impropriety or falsity, the motion is denied as to these allegations.

With

respect to the Soni Defendants’ request to strike any allegation referencing Morgan Stanley as a “disinterested stakeholder” in the FAC, the Court initially notes that the Soni Defendants failed to request judicial notice of any grounds for striking these allegations, including its argument that Morgan Stanley previously pleaded facts inconsistent with its allegation that it’s a disinterested stakeholder to the disputed funds. (Code Civ. Proc. § 437, subd. (b) [“Where the motion to strike is based on matter of which the court may take judicial notice pursuant to Section 452 or 453 of the Evidence Code, such matter shall be specified in the notice of motion, or in the supporting points and authorities, except as the court may otherwise permit.”])

Even if the Court were to permit this ground for striking these

“disinterested stakeholder” allegations

from the FAC based on omitted allegations from the original complaint regarding Morgan Stanley’s previously claimed interest to a portion of these funds, Code of Civil Procedure section 386(a) permits an interpleader action in such circumstances where an interpleader is not totally disinterested, so long as any part of the money held in the accounts is subject to conflicting demands from others. (See City of Morgan Hill

v. Brown (1999) 71 Cal.App.4th 1114, 1123.) Because the previously alleged facts regarding the use of the trust accounts as collateral for a loan only concerned only the portion of the funds held in these accounts that would be required to repay the secured loan, these omitted facts do not render the current allegations of Morgan Stanley's disinterest and disavowal of any interest in these funds false or improper. (Compare Compl. ¶ 17 and FAC ¶ 16.) Thus, the motion is denied as to any references to Morgan Stanley as a "disinterested stakeholder" in the FAC.

Finally,
in examining Prayer for Relief, paragraph 2, the Court finds that this prayer is not facially improper, as it appears to seek a discharge of liability as limited and authorized by subject matter of this interpleader action. (FAC, Prayer for Relief, ¶ 2; Code Civ. Proc. § 386, subd. (a).)

Therefore,
the motion to strike is denied in its entirety.

B.
Demurrer

"Any person, firm, corporation, association or other entity against whom double or multiple claims are made, or may be made, by two or more persons which are such that they may give rise to double or multiple liability, may bring an action against the claimants to compel them to interplead and litigate their several claims." (Code Civ. Proc., § 386(b).) "When a person may be subject to conflicting claims for money or property, the person may bring an interpleader action to compel the claimants to litigate their claims among themselves. (Id.) Once the person admits liability and deposits the money with the court, he or she is discharged from liability and freed from the obligation of participating in the litigation between the claimants. [Citations.] The purpose of interpleader is to prevent a multiplicity of suits and double vexation. [Citation.]" (City of Morgan Hill v. Brown, (1999) 71 Cal.App.4th 1114, 1122.)

"A complaint in interpleader must show that 'the defendants make conflicting claims to [the subject matter], and that the [plaintiff] cannot safely determine which claim is valid and offers to deposit the money in court. ...' [Citation.]" (Westamerica Bank v. City of

Berkeley (2011) 201 Cal.App.4th 598, 607–608, alterations in original; Fidelity Sav. & Loan Ass'n v. Rodgers (1919) 180 Cal. 683, 684 [“[T]he Code requires nothing more of him in this respect than to show that the parties to be called in make claims on him for the same thing, that the respective claims are adverse to each other, and that he cannot safely determine for himself which claim is right and lawful.”].)

“The right to the remedy of interpleader is founded on the consideration that a person is threatened not just with double liability, but with double vexation in respect to one liability.”

“The right to the remedy of interpleader is founded on the consideration that a person is threatened not just with double liability, but with double vexation in respect to one liability. [Citation.] An interpleader action, however, may not be maintained ‘upon the mere pretext or suspicion of double vexation; [the plaintiff] must allege facts showing a reasonable probability of double vexation[.]’ [citation] or a ‘valid threat of double vexation.’ [Citation.]” (Westamerica, supra, 201 Cal.App.4th at p. 608.)

In reviewing the well-pleaded facts alleged in the FAC, the Court finds that Morgan Stanley sufficiently alleged the elements of an interpleader claim. Specifically, Morgan Stanley alleges facts establishing the existence of conflicting claims to funds held in the trust accounts by the Soni Defendants and the Tierney Defendants. (FAC ¶¶ 4–15.) The factual allegations further show that a reasonable probability of double vexation exists given the nature of the claims made for the funds held in these accounts, as these facts are sufficient to establish that Morgan Stanley cannot safely determine which claim is valid without exposing itself to liability. (Id. ¶¶ 12, 15, 18, 20.)

Nor does the lack of a specified amount claimed from these trust accounts render the FAC ambiguous or uncertain, as Morgan Stanley defines the disputed funds as those sought by the levy served on Morgan Stanley on May 21, 2025, and identifies the location of these funds as the alleged trust accounts connected to Soni. (FAC ¶¶ 1–3, 9–10.)

Therefore, the demurrer is overruled.

RULING

Defendants

in Interpleader's Demurrer to Plaintiff in Interpleader's First Amended Complaint
in Interpleader is OVERRULED.

Defendants

in Interpleader's Motion to Strike Portions of Plaintiff in Interpleader's
First Amended Complaint is DENIED.